APPENDIX 1 – Managing conflicts of interest

[Adapted from Club Matters]

What is a conflict of interest

A conflict of interest arises when an individual, who is in a position to influence a decision within an organisation, has the potential to exploit that position to benefit personally, for a friend, family member or another connection, at the expense of the organisation's best interests. A committee member would have a conflict of interest if they (or their family) would be set to benefit personally from a committee decision.

It is worth noting that having conflicts of interest does not mean that your committee members have done something wrong. It is often inevitable that conflicts of interest arise; what is important is that they are recognised and handled appropriately, so as not to risk your organisation's integrity or reputation.

Recognising conflicts of interest

Asking committee members to disclose any conflicts of interests is the first step towards managing them and making sure committee members only act in the best interests of the organisation. Committee members should disclose conflicts of interest at the earliest possible opportunity. When appointing new committee members, simply ask them to disclose any potential or current conflicts of interest and capture this, either in the meeting's minutes or through a Register of Interests. You could build in a regular, short time slot into start of committee meetings to check if anyone has any new conflicts to disclose or update on.

Recording conflicts of interest

Once committee members have disclosed conflicts of interest, it is a good idea to capture these using a Register of Interests. This can be a simple document summarising any current or potential conflicts your committee members have. Making sure this information is recorded demonstrates that the committee are aware of the conflicts and are taking steps towards managing them. It promotes transparency for your members, and reduces the risk of your integrity being questioned later in time.

You can download an example Register of Interests through Club Matters if you have registered and logged-in. Remember to check in with committee members regularly to see if the status of conflicts of interests has changed to keep the register up-to-date. As suggested earlier, you could build a regular slot into committee meetings to do this

Managing conflicts of interest

Declaring and recording your interests is good practice, but if decisions are still influenced by these connections at the expense of the organisation, it hasn't really helped to protect your integrity! Taking actions to manage these conflicts of interest is just as important. Managing conflicts of interest could involve excluding a committee member with a personal connection from related meetings or decision making processes to ensure that only the organisation's best interests are considered. It is usually up to the chair to consult with the rest of the committee to decide how to act. Whatever action is taken, make sure this information is captured in the meeting's minutes or on the register of interests.